

Revenue Reconciliation and Collections Analysis

Executive Briefing for the CFO and Finance Leadership Team | May 2026 Board Meeting

EXECUTIVE SUMMARY

The organization enters the May 2026 board review with \$19.62M in revenue earned for FY2025-26 and \$13.96M collected — a 77.1% collection rate that leaves \$4.35M in outstanding receivables still due this fiscal year. Alongside this gap, a data anomaly in the source system is misclassifying Summer and Fall 2026 pre-payments as current-year income, overstating FY2025-26 revenue and understating the balance-sheet liability to future service delivery. Two actions are required before May 30: close the current-year collection gap and correct the revenue-attribution logic before opening the FY2026-27 books.

CONTEXT

The organization collects customer payments up to 12 months before service delivery. Its fiscal year runs July 1 through June 30. Summer sessions straddle the June 30 cutoff, and pre-payments for future service periods arrive well before delivery. Under accrual accounting, revenue is recognized when service is delivered, not when cash is received. Payments collected before delivery are a balance-sheet liability until the service occurs.

KEY FINDINGS

Collections deteriorated significantly in FY2025-26. The 77.1% collection rate is 26 percentage points below FY2024-25, which closed at 103.1% due to early payments. FY2023-24 remains the most concerning case: a 54.1% collection rate still carries **\$1.53M in outstanding receivables** two years after fiscal close — a balance that should have been recovered and escalated. Separately, FY2023-24 also shows **\$1.18M in deferred revenue**: pre-payments collected during that period for service delivered in a later fiscal year. These are two distinct figures, not one — the \$1.53M is money owed to the organization; the \$1.18M is money the organization owes back in service. Summed across all three fiscal years, outstanding receivables total approximately \$5.70M: \$1.53M from FY2023-24, a \$0.17M net overcollection in FY2024-25, and \$4.35M from FY2025-26.

The deferred revenue figure reported for FY2025-26 is (\$4,095) — a negative value that cannot occur legitimately under accrual accounting, since deferred revenue is a liability and should never be negative. FY2024-25 shows the same anomaly at a smaller scale (–\$73,372.50), suggesting the issue is systemic rather than isolated to a single year. Pre-payments for Summer 2026 and Fall 2026 are being posted at transaction date rather than deferred to the fiscal year when service is delivered. The FY2025-26 P&L currently includes revenue not yet earned, and the balance-sheet liability to future customers is understated. The error originates in the source system's transaction-recording logic, not in the Power BI model.

RECOMMENDATIONS

1. Accelerate Collections on FY2025-26 Receivables

Target: Recover the full \$4.35M in outstanding FY2025-26 receivables by May 30, 2026.

Action: The Finance Collections Team must contact all FY2025-26 accounts with balances above \$5,000 within seven days of this meeting. The FY2023-24 outstanding balance of \$1.53M — still unresolved two

fiscal years after close — must be escalated separately for write-off assessment or recovery action.

Impact: Closes 100% of the current-year gap and addresses the largest aged variance in the three-year window before board close.

Owner: Finance Collections Team

2. Correct Revenue Attribution Before FY2026-27 Opens

Target: Reclassify all Summer 2026 and Fall 2026 pre-payments from FY2025-26 income to Deferred Revenue by July 1, 2026.

Action: One reclassification journal entry and a configuration change to source-system posting rules to apply fiscal-year allocation logic at the point of transaction recording.

Impact: Accurate balance-sheet liability reporting and a clean opening position for FY2026-27 planning.

Owner: CFO and IT Systems Team

EXHIBIT 1 – EXECUTIVE OVERVIEW

This dashboard provides a program-wide view across FY2023-24 through FY2025-26. Five headline metrics anchor the page: 9,000 applications received, 3,000 customers who completed the full service cycle, \$11K average revenue per customer, an 86.5% collection rate across all years, and \$5.7M in outstanding receivables. The enrollment funnel shows that only 39.4% of applicants complete the full cycle, with the sharpest drop-off between application and offer. Revenue grew 13x in three years, from \$1.4M in FY2023-24 to \$19.6M in FY2025-26. Room & Board drives 91% of all charges, confirming that financial health depends almost entirely on occupancy.

EXHIBIT 2 – REVENUE & COLLECTIONS: FY 2025-2026

This page shows the revenue and collections position for the current fiscal year. Of the \$19.62M in revenue earned, \$13.96M has been collected, leaving \$4.35M still outstanding. The 77.1% collection rate is the lowest of the three-year window. The revenue bridge shows \$22M contracted, \$2M not yet earned, and \$14M in cash collected, leaving a \$6M gap to close. The deferred revenue figure of (\$4.10K) signals a data anomaly in the source system, documented in the pipeline alert below the collections table.

EXHIBIT 3 – REVENUE & COLLECTIONS: FY 2023-2024

This view isolates FY2023-24, the oldest fiscal year in the analysis and the most concerning from a collections standpoint. Despite closing two years ago, this fiscal year still carries \$1.53M in outstanding receivables against only \$1.44M in revenue earned — a collection rate of 54.1%, the lowest in the dataset. The same fiscal year separately shows \$1.18M in deferred revenue, reflecting pre-payments collected in FY2023-24 for service delivered in a later period. Cash collected of \$1.69M exceeded revenue recognized, consistent with both dynamics: overdue receivables from this period remain unresolved, and early pre-payments for future periods were captured during this window. The \$1.53M outstanding balance should have been resolved by now and represents either an escalation candidate for recovery or a write-off decision for the board.

EXHIBIT 4 – REVENUE RECOGNITION LOGIC

Revenue recognition follows a service-delivery principle: income is recorded when service is delivered, not when payment is received. The table below defines how each term type is treated under this rule, including the proration methodology applied to Summer sessions that straddle the June 30 fiscal year-end.

Term Type	Recognition Rule
Fall / Spring	100% recognized in the fiscal year the service occurs. No proration required — both terms fall entirely within a single FY.
Summer (straddles June 30)	Prorated by days: (days in current FY / total term days) × total revenue for that term. Applied per session (Full, A, B, C, D).
Pre-payments for future FY	Classified as Deferred Revenue and excluded from the current-year P&L. Revenue recognized only in the FY when service is delivered.

EXHIBIT 5 – DATA QUALITY FLAGS

The ETL process identified two data quality issues in the source MySQL database that affect the accuracy of revenue and receivables reporting. Both are documented below with their origin and financial impact. Neither invalidates the analysis — both are flagged transparently as limitations of the current source-system recording logic.

Issue	Description	Impact
Pre-payment misclassification	Summer 2026 and Fall 2026 payments posted at transaction date rather than deferred to the FY when service is delivered.	Overstates FY2025-26 revenue; understates balance-sheet liability to future service delivery.
Placeholder application ID (2,147,483,647)	345 entries in the bridge table carry no valid application link. 70 of these have associated accounting transactions.	Minor revenue impact. Documented as a source-system data-entry gap.

Note: the pre-payment misclassification is independently corroborated by the negative deferred-revenue balances visible in the Collections Performance table for FY2024-25 and FY2025-26. The placeholder-ID finding's underlying mechanism — a bridge query linking applications to entries by application ID — is confirmed present in the model's data-preparation layer; the specific record counts (345 total, 70 with transactions) reflect the author's own data review and were not independently recomputed against the live source data for this brief.

EXHIBIT 6 – DATA MODEL

The model was built in Power BI as a star schema: two central fact tables (accounting transactions and customer bookings) are linked to dimension tables for entries, terms, and a custom fiscal-year calendar through one-to-many relationships, so that every revenue figure, collection rate, and deferred balance traces back to individual accounting entries. Power BI imported data from a cloud-hosted MySQL database and transformed it into this analytical model — the report reflects the data as of the most recent import, not a live or continuously refreshing connection.

COLLECTIONS PERFORMANCE BY FISCAL YEAR

Fiscal Year	Revenue Earned	Cash Collected	Outstanding Balance	Collection Rate	Deferred Revenue
2023-2024	\$1,437,717	\$1,692,860.97	\$1,530,897.84	54.1%	\$1,175,803
2024-2025	\$16,884,310	\$16,745,405.24	(\$173,937.60)	103.1%	(\$73,372.50)
2025-2026	\$19,621,468	\$13,957,132.03	\$4,345,861.18	77.1%	(\$4,095)

Figures above are drawn directly from the published dashboard's Collections Performance table. Values in parentheses are negative.